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**Frictions in
international trade
and the potential use
and limitations of
stablecoins**

While stablecoins offer certain advantages in terms of speed, accessibility and programmability, their practical use in trade-related transactions remains limited and subject to operational, legal and regulatory constraints. This section examines the main payment-related frictions affecting international trade and assesses the extent to which stablecoins may contribute to addressing them. It also reviews current and emerging trade-related uses of stablecoins, bearing in mind the distinction, introduced above, between payment and settlement functions and the broader credit and risk-mitigation functions of trade finance.

Payment frictions in international trade

Cross-border payments are an essential component of international trade.

Whether international trade transactions are settled through bank wire transfers, payment platforms, foreign currency accounts, international checks, money transfer services, or even mobile payment solutions, exporters and importers ultimately require reliable means of transferring value across jurisdictions.

Despite ongoing modernization efforts, international payment systems continue to face structural frictions. Four main issues affect cross-border payments: high costs, low speed, limited access, and insufficient transparency (FSB, 2020). These problems are closely related to the fragmented nature of the international payment architecture, which largely depends on correspondent banking networks connecting financial institutions across multiple jurisdictions.

- **High transaction costs are the first major friction, persistently raising the cost of cross-border trade and financial transactions.** International transactions frequently involve multiple financial institutions, foreign exchange conversions, compliance checks and settlement processes, all of which generate fees (FSB, 2020; BIS, 2020). These costs are particularly burdensome for low-value payments, where transaction charges represent a relatively large proportion of the amount transferred (FSB, 2020). High payment costs may reduce the profitability of international trade transactions and hinder smaller firms from accessing foreign markets.
- **Closely tied to cost is the issue of the speed of cross-border payments, which continues to lag behind that of domestic payments, despite advances in financial technology and**

payment infrastructure. Although domestic payment systems in many jurisdictions now support near-instant settlement, cross-border transactions are often much slower (FSB, 2020). Differences in time zones, operating hours, regulatory requirements, compliance procedures and settlement arrangements can delay the completion of transactions (BIS, 2020). Payments routed through multiple correspondent banks may require additional processing and verification steps, resulting in settlement times that extend over several business days (IMF, 2023).

- **Beyond cost and speed, access to reliable and affordable cross-border payment services remains uneven across countries and market participants, particularly in developing economies.** The decline in correspondent banking relationships observed in certain regions over the past decade, due to de-risking by global banks, has raised concerns regarding the ability of firms and individuals to participate effectively in international commerce (World Bank, 2015; IMF, 2023). Limited access to payment services may reduce financial inclusion and constrain opportunities for cross-border trade and investment (FSB, 2020). Additionally, the decline in exports is only partially compensated by increased domestic sales, leading to reduced total revenues and employment, which particularly impacts smaller and younger firms (Borchert et al., 2024).
- **A related but distinct friction concerns transparency which, when lacking in cross-border payment processes, can complicate users' ability to determine the cost, timing and status of international transactions.** Businesses and consumers often face uncertainty regarding the total cost, expected delivery time, exchange rate applied, and intermediary institutions involved in a cross-border payment (FSB, 2020). In many payment chains, information becomes fragmented as transactions pass through multiple intermediaries, making it difficult for participants to track payments or predict final settlement amounts accurately (BIS, 2020). Insufficient transparency can increase operational uncertainty and reduce confidence in international payment systems (FSB, 2020).

Foreign exchange conversion constitutes an additional source of friction. Cross-border trade requires conversion between currencies, generating costs associated with exchange-rate spreads (i.e. the difference between the buying and selling prices of a currency pair in the foreign exchange market) and

intermediary fees. These costs can be particularly burdensome for small and medium-sized enterprises (SMEs), which often lack access to sophisticated treasury management services, extensive banking networks, or preferential pricing arrangements. Restricted access to foreign currency services may create additional challenges, particularly for firms operating in developing economies, where liquidity in major international currencies can be limited and foreign exchange markets less developed.

Beyond these currency-related costs, market structure itself can compound the problem: limited competition among payment providers and underdeveloped financial infrastructures may further constrain the ability of businesses to conduct international transactions efficiently

(FSB, 2020; IMF, 2023). In markets where only a small number of institutions provide cross-border payment services, businesses may face higher fees, less favourable exchange rates, and fewer alternatives for processing international transactions. At the same time, weaknesses in domestic financial infrastructure, including limited interoperability between payment systems, inadequate digital payment networks, and lower levels of financial inclusion, can increase transaction costs and reduce the speed and reliability of cross-border payments. These constraints can increase operational uncertainty, raise the cost of international trade, and reduce the ability of firms, especially SMEs, to participate effectively in global markets (FSB, 2020; IMF, 2023; World Bank, 2015).

How stablecoins could address trade frictions

Stablecoins have emerged as a notable innovation capable of facilitating faster, cheaper and more accessible cross-border transfers.

They could notably be used in the context of international trade transactions (see Figure 5). As discussed in Section 1, stablecoins are designed to maintain a stable value relative to a reference asset, most commonly a fiat currency such as the US dollar. Combined with distributed ledger technology, this stability allows them to function as digital settlement assets capable of circulating across blockchain networks.

One of the most frequently cited advantages of stablecoins is the potential to accelerate settlement. Unlike traditional payment systems, which often rely on batch processing and the intervention of intermediary institutions operating within specific business hours, stablecoin transactions can generally be processed continuously and settled within

minutes (see Table 1). Faster settlement through stablecoins may reduce the amount of working capital that must be held available while also decreasing counterparty and foreign exchange risks during the settlement period. For example, Visa permits financial institutions and fintechs to settle transactions using USD Coin (USDC) on major blockchains, allowing businesses to bypass traditional correspondent banking rails, resulting in near-instant funding and 365-day transaction capabilities (Visa, 2025).

Stablecoins may also contribute to lowering transaction costs. Because transactions can occur directly between users on blockchain networks, the number of intermediaries involved in payment processing may be reduced. This can lower fees associated with correspondent banking chains and reduce operational costs associated with reconciliation and settlement.

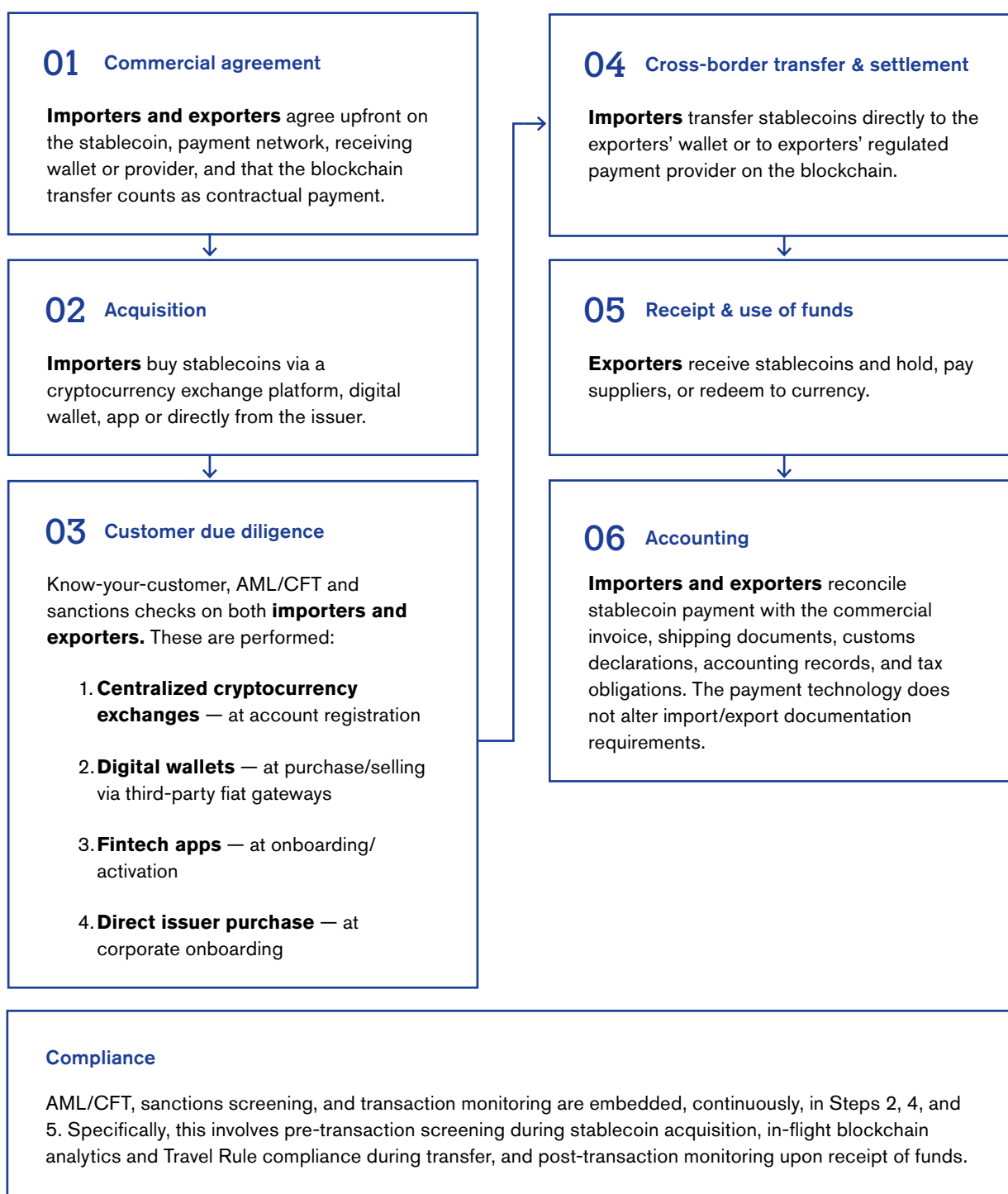
The potential cost savings appear particularly relevant in payment corridors where existing banking infrastructure is limited or expensive. A recent study estimated that sending US\$ 500 through stablecoins could cost between US\$ 5 and 15 (1 to 3 per cent), compared to US\$ 20 to 30 (4 to 6 per cent) using traditional routes (Adams et al., 2023; IMF, 2023). However, another recent study focusing on the use of a single stablecoin across a selection of international corridors found that there was not a systematic cost advantage, with total costs ranging from 0.3% to nearly 9% of the transferred amount, driven primarily by the fiat conversion phases (“on-ramp” and “off-ramp”) rather than the on-chain transfer itself (Di Iorio et al., 2026).

Another potential advantage is accessibility.

Stablecoins can be transferred using digital wallets without requiring participants to maintain relationships with multiple financial institutions. This characteristic has attracted particular attention in jurisdictions where access to banking services, correspondent banking networks, or foreign currency accounts remains constrained. According to recent International Monetary Fund (IMF) and World Bank analyses, stablecoins may help expand access to digital financial services for certain categories of users, including SMEs engaged in international transactions (IMF, 2023; World Bank and BIS, 2022).

Stablecoins also offer programmability, through the use of smart contracts i.e. self-executing computer programmes stored on a blockchain, enabling payments to be executed automatically once predefined conditions have been met.

This functionality could facilitate automation of certain commercial processes and integration with digital trade platforms, potentially reducing administrative costs and improving efficiency.

Figure 5: Step-by-step overview of the use of stablecoins in international trade

Source: WTO Secretariat.

Notes: Fiat gateway: platform allowing the conversion of fiat currency to cryptocurrency and vice-versa; in-flight blockchain analytics: real-time analysis of blockchain transactions and activities as they occur; travel rule compliance: adherence to a set of regulations established to enhance transparency and to combat financial crime, i.e. AML/CFT.

Table 1: Frictions in international trade payments, the stablecoin alternative and possible limitations

Friction in international trade payments	Why it matters for traders	Potential contribution of stablecoins	Key limitations
Slow settlement times	Cross-border transfers may require several business days, tying up working capital and exposing firms to foreign exchange and counterparty risks	Blockchain-based settlement can occur near real time and operate continuously (24/7), reducing delays and improving liquidity management	End-to-end settlement still depends on fiat conversion, banking interfaces and regulatory compliance procedures
High transaction costs	Multiple intermediaries, correspondent banking fees and processing costs increase the cost of international transactions, especially for SMEs	Fewer intermediaries and automated settlement may reduce payment processing costs	Savings vary significantly across corridors; currency conversion and regulatory compliance costs remain
Foreign exchange costs	Exchange-rate spreads and conversion fees increase transaction costs and create uncertainty	US\$-backed stablecoins can reduce the need for multiple currency conversions in some transactions	Currency conversion is still required whenever local currency is needed; exposure to US\$ may increase dollarization concerns
Limited correspondent banking access	Some jurisdictions have experienced declining correspondent banking relationships, restricting access to international payment networks	Stablecoins may provide an alternative payment rail accessible through digital wallets	Users still require reliable on- and off-ramp services and access to regulated exchanges or financial institutions
Fragmented payment infrastructures	Different messaging standards, operating hours and payment systems create inefficiencies and delays	Stablecoins operate on common blockchain networks and can facilitate interoperability among participants	Stablecoin ecosystems themselves remain fragmented across blockchains and service providers
Restricted access to stable-value assets	Firms operating in volatile currency environments may struggle to access reliable foreign currency	US\$-backed stablecoins can provide access to a relatively stable digital asset for transactions and treasury purposes	Reliance on foreign currency stablecoins raises policy concerns regarding monetary sovereignty and currency substitution

Current trade-related use cases

Despite still representing only a small share of global payment activity, stablecoins are experiencing rapid growth, particularly in business-to-business (B2B) and cross-border payments. As discussed in Section 1, stablecoin adoption for cross-border payments remains modest relative to global payment volumes, with annual payments activity estimated at approximately US\$ 390 billion in 2025. Nevertheless, usage is expanding rapidly, particularly in B2B transactions, as mentioned above, which grew by 733 per cent in 2025 compared to 2024, accounting for around 60 per cent of stablecoin payment volume. Cross-border stablecoin transactions have increased substantially

in recent years and are estimated to account for around 3 per cent of global cross-border payment volumes. These developments suggest that stablecoins are gradually evolving from assets used primarily within crypto markets into a potentially relevant payment infrastructure for selected use cases.

Beyond B2B payments, remittances represent a second use case where this growth is visible.

Traditional cross-border remittance services often involve relatively high fees and lengthy settlement periods. Stablecoins may offer a lower-cost alternative by allowing funds to be transferred directly between users and converted into local currency upon receipt. Emerging evidence from Latin America and Africa suggests increasing experimentation with stablecoin-based remittance solutions (Reuter, 2025). For instance, research estimates

that remittance fees via stablecoin rails between the United States and Mexico are now under 1 per cent, a huge cost-saving against the more than 6 per cent average often reached on traditional channels, resulting in stablecoins already accounting for an estimated 5–10 per cent of flows (Dolev, 2025).

Another emerging application involves treasury management by multinational enterprises.

Stablecoins may facilitate liquidity management across jurisdictions, allowing firms, including banks, to move funds rapidly between subsidiaries and manage foreign-currency exposure more efficiently. Deutsche Bank notes that some corporates are increasingly examining stablecoins alongside tokenized deposits and other forms of digital money as potential tools for treasury operations (Deutsche Bank, 2026).

Why adoption remains limited

Several factors explain the limited use thus far: users' confidence, legal and regulatory uncertainty, operational and cybersecurity risks, and lack of interoperability. Users' confidence remains constrained by uncertainty over the quality of reserve assets, governance structures and redemption mechanisms. Legal and regulatory uncertainty is also significant: frameworks are evolving rapidly and differ considerably across jurisdictions, creating uncertainty regarding issuance, custody, redemption, taxation, accounting treatment and prudential requirements (see Section 3). This fragmentation increases compliance costs and complicates cross-border use. Operational and cybersecurity risks, including wallet security, private-key management – secure administration and protection of private cryptographic keys used to control and authorise transactions involving digital assets – and exposure to cyberattacks and technological failures, are particularly significant for firms unfamiliar with digital-asset infrastructure.

The efficient use of stablecoins requires access to digital wallets, reliable internet connectivity, secure custody solutions and regulated service providers capable of facilitating conversions between stablecoins and fiat currencies.

In jurisdictions where such infrastructure remains underdeveloped, the advantages of stablecoin-based payments may be limited (Ratha, Plaza and Kim/World Bank, 2024). Interoperability challenges, as explained in Section 3, further constrain adoption. The fragmentation of stablecoin ecosystems across blockchain networks and existing financial systems limits the potential for end-to-end digitalization of trade transactions.

These adoption barriers compound a more basic point: while stablecoins may reduce certain operational frictions associated with cross-border payments, they do not eliminate many of the underlying challenges that characterize international transactions.

Regulatory compliance requirements, including anti-money laundering (AML), counter-terrorist financing, sanctions screening and know-your-customer (KYC) obligations, continue to apply irrespective of the payment technology used (FSB, 2023a; BIS, 2023a). As a result, firms and financial intermediaries must still undertake verification, monitoring and reporting activities that can generate costs and delays.

Furthermore, stablecoins do not necessarily remove the need for foreign exchange conversion.

In many commercial transactions, businesses ultimately require settlement in domestic currency to pay suppliers, employees, taxes and other operating expenses. Where a stablecoin is denominated in a foreign currency, users may still incur conversion costs and be exposed to liquidity constraints when exchanging stablecoins for local fiat currency (IMF, 2024). Consequently, some of the foreign exchange-related frictions that affect traditional cross-border payments may persist.

Taken together, these constraints matter because, more fundamentally, stablecoins introduce their own set of risks and limitations. Concerns have been raised regarding reserve asset management, redemption arrangements, operational resilience, governance structures and the potential implications for monetary sovereignty and financial stability if adoption were to become widespread (FSB, 2023a; BIS, 2023a). For these reasons, stablecoins are currently seen as a potential complement to existing payment systems rather than a complete substitute for traditional cross-border payment infrastructure.

Stablecoins in trade finance

The analysis that follows primarily concerns trade in goods, for which trade finance is a well-established institution. Trade finance instruments such as letters of credit and documentary collections exist because a physical good is shipped and can be pledged, inspected or held as collateral while payment and delivery are reconciled. Trade in services, and digitally delivered services in particular, generally lacks an equivalent collateralized-credit structure: there is no shipped good, in this case, against which a bank or insurer can lend or issue a guarantee.

As a result, stablecoins' comparative advantage may lie more directly in payment speed and cost for services trade, whereas for goods trade it is best assessed alongside, rather than in place of, the trade finance functions discussed in this subsection. The payment frictions affecting services trade more closely resemble ordinary cross-border business-to-business or business-to-consumer payments (for example, paying an overseas freelancer, a software-as-a-service subscription, or a platform payout) than they resemble the documentary and credit-intensive frictions described below.

There is for the time being, limited evidence of the use of stablecoins in trade finance which encompasses a range of instruments designed not only to facilitate trade payments but also to provide financing, liquidity enhancement and risk mitigation. Trade payments are facilitated if buyers (importers) receive a guarantee that payment will not be released until goods are delivered according to contract, and if sellers (exporters) can count on a payment guarantee upon shipment. As suggested in Box 1, instruments such as letters of credit, documentary collections, guarantees and export credit insurance enable buyers and sellers to manage the commercial, payment and performance risks of the trade transaction. The risk mitigation role of trade finance is enhanced by its credit function. Trade loans, working capital facilities or supply chain finance generate funding for buyers and sellers during the various stages of the trade transaction (funding for producing, shipping or paying for the goods).

Trade finance markets, although hard to fully account for, are substantial. The Bank of International Settlements (see Box 1) estimated that bank-intermediated trade finance accounted for some US\$ 6.5 to US\$ 8 trillion in 2011. Non-bank trade finance, such as credit insurance, factoring and inter-company credit (supplier or buyers' credit) adds another US\$ 2.5 to US\$ 3 trillion. This brings the total of bank and non-bank trade finance to between US\$ 9 and US\$ 11 trillion, in comparison to US\$ 19 trillion in total merchandise trade in that year. Several surveys suggest that trade finance is in shorter supply in developing economies, and much less accessible for smaller firms than for large firms, as measured by considerably higher rejections of requests for trade finance by this category of enterprise (Beck et al., 2025).

It is fair to say that access to trade finance remains limited in developing economies characterized by low levels of financial development and where the vast majority of traders rely on self-financing, informal credit, or cash-based arrangements. As shown by WTO-International Finance Corporation (IFC) studies for West Africa (2022), the Mekong Region (2023) and

Central America (2025), only 2 to 20 per cent of total flows in the surveyed emerging markets, including such large traders as Viet Nam and Mexico, is supported by trade finance. In Mexico, only one quarter of all importers and exporters have any access to credit, let alone trade finance. The largest share of trade and traders is "unserved", meaning that, in the absence of affordable trade finance available, corporates self-finance their trade using internal working capital, borrow informally (family, relatives), or simply pay cash-in-advance or are paid on "open account", as detailed in Box 1.

Even where trade finance is available, it is costlier than in developed economies or developing economies with advanced financial markets, procedurally burdensome, and subject to high rejection rates, with SMEs bearing a disproportionate share of these constraints. The same WTO-IFC studies show that, when available, access to trade finance can be expensive and uneven for eligible traders. Inherently, risk-mitigation instruments such as letters of credit and the like are expensive, because of their processing costs. Every document submitted must be verified as being fully accurate, complete and compliant with the terms agreed upon by all parties.

According to the International Chamber of Commerce Banking Commission, an estimated 65 to 80 per cent of documents presented under letters of credit are rejected on first presentation due to discrepancies (ICC, 2022). The strict compliance rule means that even tiny mismatches can halt payment. Other reasons explain the high level and unevenness of banks' rejections of trade finance requests: additional collateral requirements, lack of foreign exchange availability for the banks, insufficient correspondent bank relationships, risk aversion of counterparty banks, etc.

Trade finance is a framework of credit, risk allocation and legally enforceable payment undertakings that enable trade transactions to occur despite gaps in trust, liquidity and time. Stablecoins address certain payment and settlement frictions, but they do not perform risk mitigation and credit functions. This distinction is particularly important because trade finance operates within a sophisticated ecosystem involving banks, traders, logistics providers, customs authorities, insurers and legal institutions. Traditional trade finance instruments rely heavily on documentary processes that establish ownership rights, payment claims and collateral arrangements at each stage of the transaction. Although often criticized for being document-intensive and costly, these mechanisms provide a high degree of legal certainty and risk mitigation that stablecoin-based payment systems do not currently replicate.

Box 1: Credit and risk mitigating functions performed by banks through trade finance

1. The credit and liquidity function of trade finance

In the financial system, credit is supplied by banks. Credit can be insured or re-insured by credit insurance institutions. Trade credit or finance is a specialized form of credit applying to the needs arising during the various stages of the trade cycle, for example for the purchase of inputs, such as raw materials, parts or components, the production of the goods for overseas clients, their shipment and delivery. The most common facilities include import loans and post-shipment finance for importers, and pre-shipment export loans for exporters, who, by buying inputs, may also become importers. Under supply chain finance, banks and factor companies (i.e. financial institutions that buy a company's international accounts receivable at a discount) supply or unlock liquidity by discounting invoices. Credit can also be extended to smaller suppliers within the supply chain using the higher credit rating of larger buyers.

Trade loans are typically granted against trade collateral, such as trade titles, i.e. short-term working capital facilities, and documents (purchase orders, export contracts), and physical collateral (goods for shipment or kept in inventory until delivery).

In its report on trade finance, the Bank for International Settlements estimated flows of bank-intermediated trade finance to amount to between US\$ 6.5 and 8 trillion a year in the early 2010s, including around US\$ 2 trillion in letters of credit and US\$ 4.5 to US\$ 6 trillion in bank loans (BIS, 2014). As highlighted in recent WTO-IFC regional studies (WTO and IFC, 2022, 2023, 2025) on trade finance in developing economies, short-term working capital lines (i.e. flexible bank or lender credit facilities) are often used by importers and exporters as a substitute to more formal, structured and documented trade loans. Working capital loans can be preferred for their flexibility but are also typically more expensive and only accessible to clients with sufficient land or building collateral.

Source: WTO Secretariat.

2. The risk mitigation function

Without trade finance, importers and exporters with little market power may bear a disproportionate share of the payment and transaction risk between the parties. For example, in cash-in-advance payments, the importers pay for goods upfront thus facing an opportunity cost of using their own cash flow, while pre-financing that of the exporters', and incurring a (transactional) risk of potentially not receiving timely and/or compliant delivery. Inversely, the exporter may be induced to deliver the goods prior to payment (open account), thereby taking a transactional and payment risk of non-payment or non-acceptance by the buyer.

Letters of credit, documentary collections and similar guarantee instruments mitigate and "rebalance" these risks between buyers and sellers. If a letter of credit is involved, the payment is guaranteed to the exporter by the bank of the importer, provided the goods are delivered by the exporter according to the terms of the contract and subject to presentation of compliant trade documentation, which allow for the identification of right holders at every stage of the transaction.

The system is document heavy but provides high levels of security to the parties. It relies on the systematic handling, verification and exchange of a large set of documents to be presented to banks (invoice, transport documents such as the bill of lading or air waybill, packing list, certificate of origin, inspection certificates, etc.) consistent with the terms agreed by all parties, confirming the claimant's (exporter) right to payment. Such instruments are governed by international rules, which are enforceable in most jurisdictions in the world, using the goods as collateral.

Other institutions, such as export credit agencies, can also mitigate the risk of international trade payments by offering export credit insurance, guarantees and direct financing.

The inefficiencies of trade finance are well documented (ADB, 2022). They result from heavy reliance on paper, stringent anti-money laundering and know-your-customer (AML-KYC) compliance, and conservative lending frameworks, disproportionately affecting SMEs, and contributing to high levels of unmet demand.

The question is therefore whether stablecoins could reduce settlement frictions and improve liquidity management through faster and potentially programmable payment mechanisms, particularly in markets where payment infrastructure remains costly or inefficient.

By enabling near real-time settlement once contractual conditions have been satisfied, stablecoins may shorten the cash conversion cycle, improve working-capital management and reduce settlement-related costs, including delays associated with correspondent banking and exposure to exchange-rate movements during the settlement period. However, these efficiency gains do not eliminate the need for trade finance. Stablecoins do not provide credit, substitute for legally enforceable payment undertakings such as letters of credit, or

address the commercial and documentary risks that arise earlier in the trade transaction. Their principal contribution therefore lies in complementing, rather than replacing, existing trade finance arrangements.

Smart contract-enabled stablecoins could potentially automate conditional payments triggered by real-world trade events, with particular potential benefits for underserved small businesses in markets with limited banking infrastructure. Proponents suggest that stablecoins would provide for reduced payment risk by promoting programmable, secure payments, while at the same time reducing the liquidity “lock-up” of having to wait for payments to be processed (Frosinini, 2025). The immediate nature of on-chain payments, running 24/7, would permit conditional payments; for example, payments could be programmed to be released only when Internet of Things sensors verify that containers reach port or clear customs. Some applications already exist, using sensors on shipping containers to automatically release payment upon delivery. Smart contracts could enhance trust between parties as contractual conditions are transparent and verifiable.

Table 2: Possible contributions of stablecoins to trade finance

Trade finance function	How trade finance performs this function	Stablecoin contribution	Remaining limitation
Payment and settlement	Payment triggered once contractual conditions are satisfied	Faster 24/7 settlement; programmable execution	Banking interfaces and fiat conversion remain necessary
Credit provision	Banks provide working capital before payment	None (except possible future tokenized lending models)	Stablecoins do not create credit
Risk mitigation	Letters of credit, guarantees and UCP 600-compliant* documentary processes create legally enforceable payment obligations	Smart contracts may automate payment conditions	Cannot replace bank guarantees or documentary compliance
Documentation	Documentary examination establishes entitlement to payment	Integration with electronic trade documents possible	Legal recognition still incomplete
Liquidity	Pre- and post-shipment finance supports exporters and importers	Faster release of funds after settlement	Does not finance production or shipment

Source: WTO Secretariat.

Note: *UCP 600 stands for UCP Credits. It is a set of 39 international rules established by the ICC that governs the use of letters of credit in global trade finance. Table 2: Possible contributions of stablecoins to trade finance.

It is argued that stablecoins, locked in smart contracts subject to compliant delivery, could serve as collateral in automated settlement arrangements that could replace pre-funded guarantees (Mitchell et al., 2026). For the above-mentioned potential to materialize in trade finance specifically, certain operational and legal conditions need to exist. A key aspect of the success of a conditional payment (risk mitigation) in trade is the ability to legally use goods as collateral. In traditional trade finance, rights holders have clear claims on the goods, as recognized by the current rules of the International Chamber of Commerce (ICC) – Uniform Customs and Practice for Documentary Credits (UCP) – and most legislation in the world.

The UCP rules determine the operational guidelines, rights and obligations of all parties involved at each stage of the contract execution and itinerary of a good. This may not be entirely clear in the case of a transaction involving stablecoins. For example, misdirected funds under blockchain cannot be easily rolled back; in the case of a dispute over payments, funds cannot be easily frozen by the parties. Furthermore, trade documentation standards are not always acknowledged by private agreements under digital contracts, creating enforceability of payment issues.

Legal and operational issues hinder the development of stablecoins in trade finance.

An important condition for the widespread use of stablecoins in trade would be to achieve a significant level of interoperability across all actors, banks,

corporates and logistics networks, as for traditional trade finance. Bank infrastructures are not yet designed to link up with enterprise treasury management systems, that is to say specialized software platforms that centralize an organization's global financial operations and are adapted to handle trade payments in stablecoins, in relation to the physical movement of goods (see Section 3). Another uncertainty relates to the acceptance of digital trade documents by all the parties.

In itself, the lack of digital documents is not a constraint, but one that limits the use of stablecoins, especially if the legislation does not allow the blending of paper and electronic documentation (see Section 3). Progress such as that seen through the UK Electronic Trade Documents Act and the United Nations Commission on International Trade Law's (UNCITRAL) Model Law on Electronic Transferable Records, help establish legal equivalence between digital and paper trade documents, laying the ground for possible complementarity between traditional trade finance and blockchain-based transactions (see Table 2).

Overall, current evidence suggests that stablecoins may contribute to reducing selected payment and settlement frictions associated with international trade. However, they do not substitute for the broader financing, liquidity-enhancement and risk-management functions traditionally performed by trade finance institutions. Their most plausible near-term role is therefore as a complementary payment infrastructure that may improve efficiency within existing trade finance arrangements rather than replace them.